



ITIL® 4 FOUNDATION STUDY NOTES

Pass your ITIL exam with these comprehensive study notes and exam tips.

Version 4.0

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Read Me

If you're reading this, you've stumbled upon the best study notes you'll find for ITIL 4. Our students have had great success with our online course using these notes. Still not convinced that these notes are awesome?

Here's how to use the notes:

Order in which you should review the study materials:

- a. Exam Tips
 - b. Topic 1 – Introduction
 - c. Topic 2 – Understanding the Key Concepts of Service Management
 - d. Topic 3 – ITIL Guiding Principles
 - e. Topic 4 – The Four Dimensions of Service Management
 - f. Topic 5 – Purpose and Components of the ITIL Service Value System
 - g. Topic 6 – Activities of the Service Value Chain
 - h. Topic 7 – ITIL Practices
 - i. Topic 8 – Recap and Exam Practice
1. The first page of every note contains a list of constructs (processes / functions / etc.) that may be tested on. If you can go through the first page of every topic and answer/define/understand the constructs without looking at the answers listed on the subsequent pages, you're ready to move onto the next topic.
 2. While these notes are close to a complete study guide, keep in mind that getting answers wrong on the practice tests is an invaluable exercise which will help you determine the constructs you still need to decipher. For example, I thought I knew what a "workaround" was, but I had to get it wrong on the practice exam to recognize I needed to understand/memorize ITIL's definition.

Best of luck! And hey, if you need help, don't hesitate to contact us info@thoughtrock.com regardless of whether you're taking the course through us. We'll help!

Your study partner, **Thought Rock**

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Quick Exam Tips

Prepping for the ITIL 4 Foundation Exam? Here are some key points to keep in mind:

1. Memorize your definitions. The questions on the exam will provide 2 out of 4 answers that make sense and are very similar when referring to a term, and so if you don't have the term memorized, you'll be stuck. Trust us; definition questions on the exam will be just like this.
2. Understanding the interrelationships, jurisdictions, and subtle differences between the terms, systems, and practices is just as important as understanding the constructs themselves. For example:
 - What is the difference between an organization provisioning services compared to an organization receiving services?
 - Which value chain activity includes negotiation of contracts and agreements with suppliers and partners?
 - What is the difference between output and outcome?
 - Understand the service relationship model.
 - Why are utility and warranty essential for a service to facilitate a desired outcome?
 - What are the complex relationships between service providers, consumers and stakeholders?
 - What is the difference between organizational agility and organizational resilience?
 - Describe the purpose of each service value chain activity.
 - Understand the purpose of 15 ITIL practices and how an organization uses these to perform work or accomplish an objective.

Topic 1: Introduction

Outline

- **About This Training**
 - Acknowledgements
 - Who Should Take This Training
 - Purpose of the ITIL 4 Training
 - About the ITIL Story
 - IT Service Management in the Modern World
 - How Organizations Are Transforming
- **About ITIL 4**
 - Overview
 - Structure and Benefits of ITIL 4
 - Service Value System (SVS)
 - Core Components of SVS
 - Four Dimensions of Service Management

What You Need to Know

This course is divided into topics. Each topic has objectives, content, and a quiz. This first topic provides an overview of ITIL 4 and ITSM. Take a minute to read what you need to know.

By the end of this topic, you will be able to:

- Understand the purpose of this training and who should take this training
- Understand IT Service Management in the modern world and how organizations are transforming
- Understand the structure and benefits of ITIL 4
- Understand the Service Value System (SVS)
- Understand the core components of SVS
- Understand the four dimensions of Service Management

Concepts Covered

Take some time to review the concepts covered in this topic.

Key Concept	Main Points
Purpose of ITIL 4 Foundation	The purpose of this training is to introduce learners to the management of modern IT-enabled services.
Technology development	Some of these developments include: • Cloud computing • Infrastructure as a service • Machine learning • Block chain
ITIL 4 framework	Consists of the following key concepts: • Service Value System (SVS) • Four Dimensions Model
Core components of SVS	The core components of the ITIL SVS are: • ITIL service value chain • ITIL practices • ITIL guiding principles • Governance • Continual improvement
Four dimensions of service management	The four dimensions are: 1. Organizations and people 2. Information and technology 3. Partners and suppliers 4. Value streams and processes

Exam Recap Summary

- Understand the purpose of this training and who should take this training
- Understand IT Service Management in the modern world and how organizations are transforming
- Understand the structure and benefits of ITIL 4
- Understand the Service Value System (SVS)
- Understand the core components of SVS
- Understand the four dimensions of Service Management

Topic 2: Understanding the Key Concepts of Service Management

Outline

- **What You Need to Know**
- **Key Terms**
- **Lesson Content**
 - Introduction
 - Value and Value Co-creation
 - Organizations, Service Providers, Service Consumers and Other Stakeholders
 - Products and Services
 - Service Relationships
 - Value: Outcomes, Cost and Risks
 - Summary
- **Check Your Understanding**

What You Need to Know

This topic provides an understanding of the key concepts of service management. Take a minute to read what you need to know.

By the end of this topic, you should be able to:

1. Recall the following definitions:
 - Service
 - Utility
 - Warranty
 - Customer
 - User
 - Sponsor
 - Service Management
2. Describe the key concepts of creating value with services:
 - Cost
 - Value
 - Organization
 - Outcome
 - Output
 - Risk
 - Utility
 - Warranty
3. Describe the key concepts of service relationships:

- Service offering
- Service relationship management
- Service provision
- Service consumption

Key Terms

Take some time to review the key terms covered in this topic.

Key Term	Definition
Business Relationship Manager (BRM)	A role responsible for maintaining good relationships with one or more customers.
Cost	The amount of money spent on a specific activity or resource.
Customer	The role that defines the requirements for a service and takes responsibility for the outcomes of service consumption.
Organization	A person or a group of people that has its own functions with responsibilities, authorities and relationships to achieve its objectives. Organizations vary in size and complexity, and in their relation to legal entities, from a single person or a team, to a complex network of legal entities united by common objectives, relationships and authorities.
Outcome	A result for a stakeholder enabled by one or more outputs.
Output	A tangible or intangible deliverable of an activity.
Product	A configuration of an organization's resources designed to offer value for a consumer.
Risk	A possible event that could cause harm or loss, or make it more difficult to achieve objectives. Risk can also be defined as uncertainty of outcome, and can be used in the context of measuring the probability of positive outcomes as well as negative outcomes.
Service	A means of enabling value co-creation by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.
Service Consumption	Activities performed by an organization to consume services. It includes the management of the consumer's resources needed to use the service, service actions performed by users, and the receiving (acquiring) of goods (if required).
Service Management	A set of specialized organizational capabilities for enabling value for customers in the form of services.
Service Offering	A description of one or more services, designed to address the needs of a target consumer group. A service offering may include goods, access to resources, and service actions.

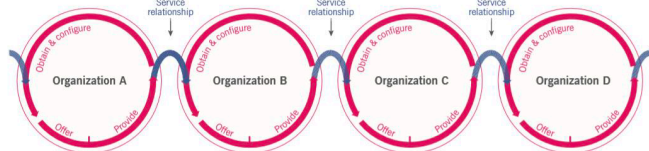
Service Provision	Activities performed by an organization to provide services. Includes: management of the provider's resources, configured to deliver the service, access to these resources for users, fulfilment of the agreed service actions, service performance management and continual improvement. It may also include the supply of goods.
Service Relationship Management	Joint activities performed by a service provider and a service consumer to ensure continual value co-creation based on agreed and available service offerings.
Sponsor	The role that authorizes budget for service consumption.
User	The role that uses services.
Utility	The functionality offered by a product or service to meet a particular need.
Value	The perceived benefits, usefulness and importance of something.
Warranty	Assurance that a product or service will meet agreed requirements.

Concepts Covered

Take some time to review the concepts covered in this topic.

Key Concept	Main Points
Important concepts of service management	The most important concepts of service management, include: - the nature of value and value co-creation - organizations, service providers, service consumers and other stakeholders - products and services - service relationships - value: outcomes, costs and risks
What is Service Management?	Service Management is a set of specialized organizational capabilities for enabling value for customers in the form of services.
Value	Is a key focus of ITIL 4: Value is the perceived benefits, usefulness and importance of something.
Value co-creation	Value is co-created through an active collaboration between providers and consumers, as well as other organizations that are part of the relevant service relationships.
What is an organization?	An organization is A person or a group of people that has its own functions with responsibilities, authorities and relationships to achieve its objectives.
Roles of organizations	Organization provisions service then role is a service provider.

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	Organization receiving services then role is a service consumer.
Roles of service consumer	Customer – The role that defines the requirements for a service and takes responsibility for the outcomes of service consumption. Sponsor – The role that authorizes budget for service consumption. User – The role that uses services
Other stakeholders	There are usually many other stakeholders that are important to value creation. Examples of these include: - individual employees of the provider organization - partners and suppliers - investors and shareholders - government organizations such as regulators, social groups, etc.
Central component of service management	Service - A means of enabling value co-creation by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.
How products offer value	Products - A configuration of an organization's resources designed to offer value for a consumer. Remember: A product is NOT exclusive to one consumer group, and can be used to address the needs of several different groups. Products are typically complex and are not fully visible to the consumer.
Different types of service offerings	Service offering - A description of one or more services, designed to address the needs of a target consumer group. A service offering may include: - GOODS - ACCESS TO RESOURCES - SERVICE ACTIONS
What is the difference between a product and a service?	Organizations will have their own definitions for product and service terms. The important thing is to adopt a language that will allow the members of the organization to talk together effectively and deliver objectives. The full value chain must be considered, from the ideation and design of a resource configuration, to cooperation with consumers and value realization.
Service relationship	Service relationship - A co-operation between a service provider and service consumer. Service relationships include service provision, service consumption and service relationship management.
Service Relationship Model	The Service Relationship Model 

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Outputs and outcomes	Acting as a service provider, an organization produces <i>outputs</i> that help its consumers to achieve certain <i>outcomes</i> . It is important to be clear about the difference between outputs and outcomes.
Two types of cost in service relationship	Type #1 - Costs removed from the consumer by the service (a part of the value proposition). This may include costs of staff, technology and other resources, which the consumer does not need to provide. Type #2 - Costs imposed on the consumer by the service (the costs of service consumption). The total cost of consuming a service includes the price charged by the service provider (if applicable), plus other costs such as staff training, costs of network utilization, procurement, etc. Some consumers describe this as what they have to 'invest' to consume the service.
Two types of risk for a service consumer	Type #1 - Risks removed from a consumer by the service (part of the value proposition). These may include failure of the consumer's server hardware or lack of staff availability. In some cases, a service may only reduce a consumer's risks, but the consumer may determine that this reduction is sufficient to support the value proposition. Type #2 - Risks imposed on a consumer by the service (risks of service consumption). An example of this would be a service provider ceasing trading or experiencing a security breach.
Difference between Utility and Warranty	Utility - Summarized as 'what the service does' and can be used to determine whether a service is 'fit for purpose'. To have utility, a service must either support the performance of the consumer or remove constraints from the consumer. Many services do both. Warranty Summarized as 'how the service performs' and can be used to determine whether a service is 'fit for use'. Warranty often relates to service levels aligned with the needs of service consumers. This may be based on a formal agreement, or it may be a marketing message or brand image.

Exam Recap Summary

- Recall definitions
- Describe the key concepts of creating value with services
- Describe the key concepts of service relationships

Topic 3: ITIL Guiding Principles

Outline

- **What You Need to Know**
- **Key Terms**
- **Lesson Content**
 - Overview of ITIL Guiding Principles
 - Focus on Value
 - Start Where You Are
 - Progress Iteratively with Feedback
 - Collaborate and Promote Visibility
 - Think and Work Holistically
 - Keep it Simple and Practical
 - Optimize and Automate
 - Summary
- **Check Your Understanding**

What You Need to Know

This topic describes the ITIL guiding principles. Take a minute to read what you need to know.

By the end of this topic, you should be able to:

1. Describe the nature, use and interaction of the guiding principles
2. Explain the use of the guiding principles:
 - Focus on value
 - Start where you are
 - Progress iteratively with feedback
 - Collaborate and promote visibility
 - Think and work holistically
 - Keep it simple and practical
 - Optimize and automate

Key Terms

Take some time to review the key terms covered in this topic.

Key Term	Definition
Agile	An umbrella term for a collection of frameworks and techniques that together enable teams and individuals to work in a way that is typified by collaboration, prioritization, iterative and incremental delivery, and timeboxing. There are several specific methods (or frameworks) that are classed as Agile, such as Scrum, Lean, and Kanban.
Deployment	The movement of any service component into any environment.
DevOps	An organizational culture that aims to improve the flow of value to customers. DevOps focuses on culture, automation, Lean, measurement, and sharing (CALMS).
Effectiveness	A measure of whether the objectives of a practice, service or activity have been achieved.
Efficiency	A measure of whether the right amount of resources have been used by a practice, service, or activity.
Engage	The value chain activity that provides a good understanding of stakeholder needs, transparency, continual engagement, and good relationships with all stakeholders.
Environment	A subset of the IT infrastructure that is used for a particular purpose, for example a live environment or test environment. Can also mean the external conditions that influence or affect something.
Failure	A loss of ability to operate to specification, or to deliver the required output or outcome.
Improve	The value chain activity that ensures continual improvement of products, services, and practices across all value chain activities and the four dimensions of service management.
ITIL Guiding Principles	Recommendations that can guide an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure.
Kanban	A method for visualizing work, identifying potential blockages and resource conflicts, and managing work in progress.
Lean	An approach that focuses on improving workflows by maximizing value through the elimination of waste.

Metric	A measurement or calculation that is monitored or reported for management and improvement.
Model	A representation of a system, practice, process, service, or other entity that is used to understand and predict its behaviour and relationships.
Monitoring	Repeated observation of a system, practice, process, service, or other entity to detect events and to ensure that the current status is known.
Operation	The routine running and management of an activity, product, service, or other configuration item.
Performance	A measure of what is achieved or delivered by a system, person, team, practice, or service.
Policy	Formally documented management expectations and intentions, used to direct decisions and activities.
Quick Win	An improvement that is expected to provide a return on investment in a short period of time with relatively small cost and effort.

Concepts Covered

Take some time to review the concepts covered in this topic.

Key Concept	Main Points
Nature, use and interaction of guiding principles	Guiding principle - A guiding principle is a recommendation that guides an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure. A guiding principle is universal and enduring.
ITIL Guiding Principles	The guiding principles embody the core messages of ITIL, and of service management in general, supporting successful actions and good decisions of all types and at all levels. • Focus on value • Start where you are • Progress iteratively with feedback • Collaborate and promote visibility • Think and work holistically • Keep it simple and practical • Optimize and automate
Principle interaction	Important to recognize that they interact with and depend upon each other. Organizations should not use just one or two of the principles but should consider the relevance of each of them and how they apply together.
Focus on value principle	• Who is the service consumer

	• The consumers perspective of value • The customer experience • Applying the principles
Start where you are	• Assess where you are • The role of measurement • Applying the principle
Progress iteratively with feedback	• The role of feedback • Iteration and feedback together • Applying the principle
Collaborate and promote visibility	• Whom to collaborate with • Communication for improvement • Increasing urgency through visibility • Applying the principle
Think and work holistically	• Applying the principle
Keep it simple and practical	• Judging what to keep • Conflicting objectives • Applying the principle
Optimize and automate	• The road to optimization • Using automation • Applying the principle

Exam Recap Summary

- Describe the nature, use and interaction of the guiding principles
- Explain the use of the guiding principles

Topic 4: The Four Dimensions of Service Management

Outline

- **What You Need to Know**
- **Key Terms**
- **Lesson Content**
 - Introduction
 - Organizations and People
 - Information and Technology
 - Partners and Suppliers
 - Value Streams and Processes
 - Summary
- **Check Your Understanding**

What You Need to Know

This topic provides an overview of the four dimensions of service management. Take a minute to read what you need to know.

By the end of this topic, you should be able to:

1. Understand and describe the Four Dimensions of Service Management
 - Organizations and people
 - Information and technology
 - Partners and suppliers
 - Value streams and processes

Key Terms

Take some time to review the key terms covered in this topic.

Key Term	Definition
Availability	The ability of an IT service or other configuration item to perform its agreed function when required.
Cloud Computing	A model for enabling on-demand network access to a shared pool of configurable computing resources that can be rapidly provided with minimal management effort or provider interaction.

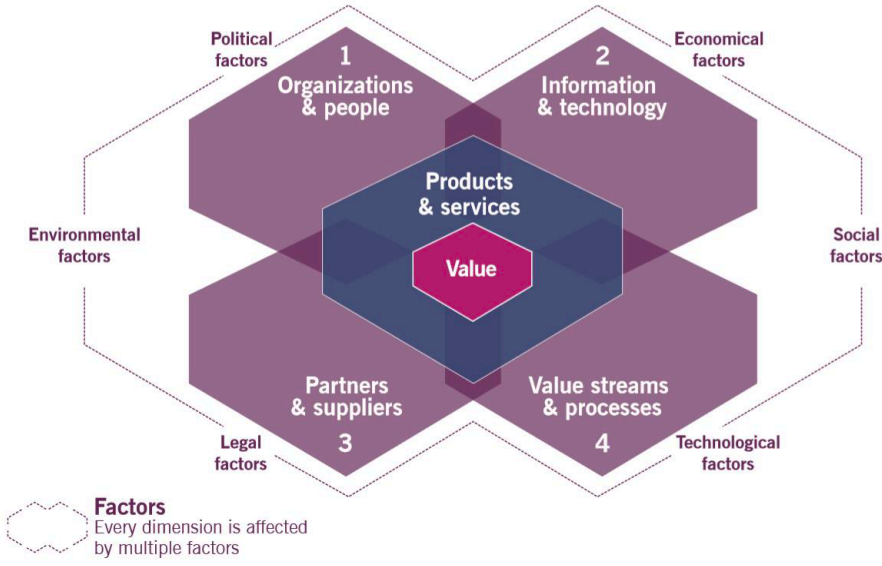
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Continual Improvement Practice	The practice of aligning an organization's practices and services with changing business needs through the ongoing identification and improvement of all elements involved in the effective management of products and services.
Culture	A set of values that is shared by a group of people, including expectations about how people should behave, ideas, beliefs, and practices.
Deployment	The movement of any service component into any environment.
DevOps	An organizational culture that aims to improve the flow of value to customers. DevOps focuses on culture, automation, Lean, measurement, and sharing (CALMS).
Information and Technology	One of the four dimensions of service management. It includes the information and knowledge used to deliver services, and the information and technologies used to manage all aspects of the service value system.
Operation	The routine running and management of an activity, product, service, or other configuration item.
Organization	A person or a group of people that has its own functions with responsibilities, authorities, and relationships to achieve its objectives.
Organizations and People	One of the four dimensions of service management. It ensures that the way an organization is structured and managed, as well as its roles, responsibilities, and systems of authority and communication, is well defined and supports its overall strategy and operating model.
Output	A tangible or intangible deliverable of an activity.
Partners and Suppliers	One of the four dimensions of service management. It encompasses the relationships an organization has with other organizations that are involved in the design, development, deployment, delivery, support, and/or continual improvement of services.
Practice	A set of organizational resources designed for performing work or accomplishing an objective.
Procedure	A documented way to carry out an activity or a process.
Product	A configuration of an organization's resources designed to offer value for a consumer.
Reliability	The ability of a product, service, or other configuration item to perform its intended function for a specified period of time or number of cycles.
Resource	Personnel, material, finance or other entity that is required for the execution of an activity or the achievement of an objective. Resources used by an organization may be owned by the organization or used according to an agreement with the resource owner.

Risk	A possible event that could cause harm or loss or make it more difficult to achieve objectives. Can also be defined as uncertainty of outcome and can be used in the context of measuring the probability of positive outcomes as well as negative outcomes.
Service Consumption	Activities performed by an organization to consume services. It includes the management of the consumer's resources needed to use the service, service actions performed by users, and the receiving (acquiring) of goods (if required).
Service Continuity Management Practices	The practice of ensuring that service availability and performance are maintained at a sufficient level in the event of a disaster.
Service Management	A set of specialized organizational capabilities for enabling value for customers in the form of services.
Service Provider	A role performed by an organization in a service relationship to provide services to consumers.
Stakeholder	A person or organization that has an interest or involvement in an organization, product, service, practice, or other entity.
Values Streams and Processes	One of the four dimensions of service management. It defines the activities, workflows, controls, and procedures needed to achieve the agreed objectives.

Concepts Covered

Take some time to review the concepts covered in this topic.

Key Concept	Main Points
Four dimensions of service management	The four dimensions of service management are relevant to, and impact upon, all elements of the Service Value System. To achieve their desired outcomes and work as effectively as possible, organizations should consider ALL aspects of their behavior. In practice, organizations will often become too focused on one area of their initiatives and neglect the others.  Factors Every dimension is affected by multiple factors Copyright © AXELOS Limited 2018 Reproduced under licence from AXELOS Limited. All rights reserved.
First dimension – organizations and people	When looking at this dimension in relation to the SVS, the focus should be on the context of the organization acting as a service provider. The organizations and people dimension of a service cover: • roles and responsibilities • formal organizational structures • culture • required staffing and competences
Second dimension – information and technology	Information and technology apply both to service management and to the services being managed. When applied to the SVS, this dimension includes the information and knowledge necessary for service management, as well as the technologies required. It also incorporates the relationships between different components of the SVS, such as the inputs and outputs of activities and practices.

	Two categories of technologies: - Technologies supporting service management - Technologies supporting IT services For many services, information management is the primary means of enabling customer value. Service management increasingly benefits from technology development and are used at all levels, from strategic planning and portfolio optimization, to system monitoring and user support. For the information component, organizations should consider: - What information is managed by services? - What supporting information and knowledge is needed to deliver and manage the services? - How will the information and knowledge assets be protected, managed, archived and disposed of? Key considerations: - How information is exchanged - Challenges of information management - Information technology considerations - Culture of an organization - Cloud computing
Third dimension – partners and suppliers	Every organization and every service depend to some extent on services provided by other organizations. The partners and suppliers dimension encompasses an organization's relationships with other organizations that are involved in the design, development, deployment, delivery, support and/or continual improvement of services. It also incorporates contracts and other agreements between the organization and its partners or suppliers. Factors that may influence an organizations strategy when using suppliers: - Strategic focus - Corporate culture - Resource scarcity - Cost concerns - Subject matter expertise - External constraints - Demand patterns
Fourth dimension – value streams and processes	The value streams and processes dimension is applicable to both the SVS in general, and to specific products and services. In both contexts it defines the activities, workflows, controls and procedures needed to achieve agreed objectives. Focuses on what activities the organization undertakes, and how they are organized, as well as how the organization ensures that it is enabling value creation for all stakeholders efficiently and effectively.

	ITIL gives organizations acting as service providers an operating model that covers all the key activities required to effectively manage products and services. This is referred to as the ITIL service value chain. The service value chain operating model is generic but in practice it can follow different patterns known as value streams.
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Exam Recap Summary

- Understand and describe the Four Dimensions of Service Management

Topic 5: Purpose and Components of the ITIL Service Value System

Outline

- **What You Need to Know**
- **Key Terms**
- **Lesson Content**
 - Introduction
 - ITIL Service Value System
 - Summary
- **Check Your Understanding**

What You Need to Know

This topic provides an understanding of the purpose and components of the ITIL service value system. Take a minute to read what you need to know.

By the end of this topic, you should be able to:

1. Understand the purpose and components of the ITIL service value system.
2. Describe the ITIL service value system.

Key Terms

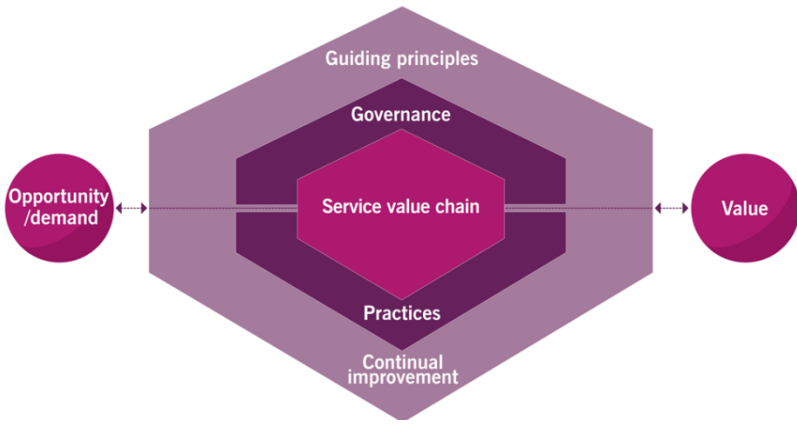
Take some time to review the key terms covered in this topic.

Key Term	Definition
Agile	An umbrella term for a collection of frameworks and techniques that together enable teams and individuals to work in a way that is typified by collaboration, prioritization, iterative and incremental delivery, and timeboxing. There are several specific methods (or frameworks) that are classed as Agile, such as Scrum, Lean and Kanban.
Continual Improvement Practice	The practice of aligning an organization's practices and services with changing business needs through the ongoing identification and improvement of all elements involved in the effective management of products and services.
Demand	Input to the service value system based on opportunities and needs from internal and external stakeholders.
DevOps	An organizational culture that aims to improve the flow of value to customers. DevOps focuses on culture, automation, Lean, measurement, and sharing (CALMS).

Governance	The means by which an organization is directed and controlled.
ITIL Guiding Principles	Recommendations that can guide an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure.
Lean	An approach that focuses on improving workflows by maximizing value through the elimination of waste.
Value	The perceived benefits, usefulness and importance of something.
Value Stream	A series of steps an organization undertakes to create and deliver products and services to consumers.
Value Stream and Processes	One of the four dimensions of service management. Defines the activities, workflows, controls and procedures needed to achieve agreed objectives.

Concepts Covered

Take some time to review the concepts covered in this topic.

Key Concept	Main Points
Overview of the Service Value System	This system describes how all the components and activities within an organization work together as a complete system to enable value creation.  Copyright © AXELOS Limited 2018 Reproduced under licence from AXELOS Limited. All rights reserved. For service management to function properly, it needs to work as a system. The ITIL Service Value System (SVS) describes: Inputs – opportunities and demand

	Components – Guiding Principles, Governance, Service Value Chain, Practices, Continual Improvement Outputs - Achievement of organizational objectives and value for the organization, its customers and other stakeholders
Outcome of the SVS	Value, the perceived benefits, usefulness and importance of something. The ITIL SVS can enable the creation of many different types of value for a wide group of stakeholders. For example: customers, organization, suppliers, partners, auditors and shareholders.
Components of SVS	Guiding Principles - Recommendations that can guide an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure. Governance - The means by which an organization is directed and controlled. Service Value Chain - A set of interconnected activities that an organization performs to deliver a valuable product or service to its consumers and to facilitate value realization. Practices - Sets of organizational resources designed for performing work or accomplishing an objective. Continual Improvement- A recurring organizational activity performed at all levels to ensure that an organization's performance continually meets stakeholders' expectations. ITIL 4 supports continual improvement with the ITIL continual improvement model.
Purpose of the SVS	It ensures that the organization continually co-creates value with all stakeholders through the use and management of products and services.
Organizational agility and organizational resilience	Organizational agility is the ability of an organization to move and adapt quickly, flexibly and decisively to support internal changes. Organizational resilience is the ability of an organization to anticipate, prepare for, respond to and adapt to both incremental changes and sudden disruptions from an external perspective.

Exam Recap Summary

- Understand the purpose and components of the ITIL service value system.
- Describe the ITIL service value system.

Topic 6: Activities of the Service Value Chain

Outline

- **What You Need to Know**
- **Key Terms**

- **Lesson Content**
 - Introduction
 - Service Value Streams
 - Six Value Chain Activities
 - Summary
- **Check Your Understanding**

What You Need to Know

This topic provides an overview of the activities of the service value chain. Take a minute to read what you need to know.

By the end of this topic, you should be able to:

1. Describe the interconnected nature of the service value chain and how this supports the value streams
2. Describe the purpose of each value chain activity:
 - Plan
 - Improve
 - Engage
 - Design & transition
 - Obtain/build
 - Deliver & support

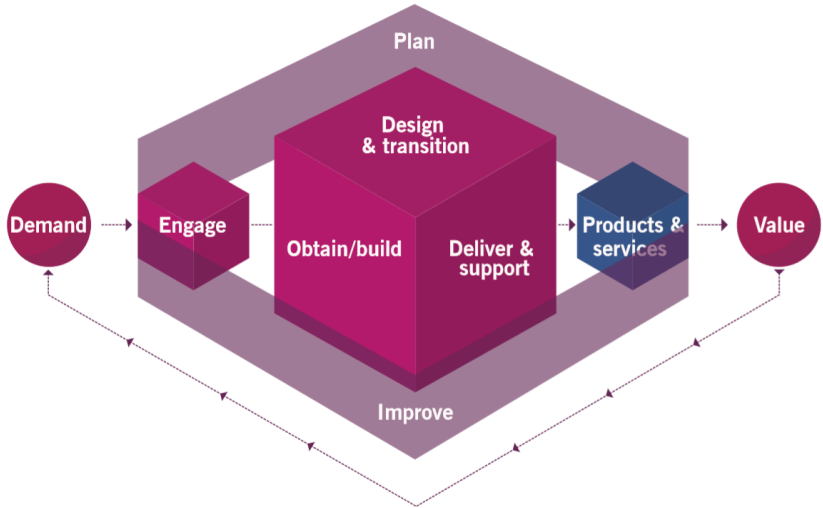
Key Terms

Take some time to review the key terms covered in this topic.

Key Term	Definition
Deliver and Support	The value chain activity that ensures services are delivered and supported according to agreed specifications and stakeholders' expectations.
Demand	Input to the service value system based on opportunities and needs from internal and external stakeholders.
Design and Transition	The value chain activity that ensures products and services continually meet stakeholder expectations for quality, costs, and time to market.
Engage	The value-chain activity that provides a good understanding of stakeholder needs, transparency, and continual engagement and good relationships with all stakeholders.
Improve	The value chain activity that ensures continual improvement of products, services, and practices across all value chain activities and the four dimensions of service management.
Obtain/Build	The value chain activity that ensures service components are available when and where they are needed, and that they meet agreed specifications.
Plan	The value chain activity that ensures a shared understanding of the vision, current status, and improvement direction for all four dimensions and all products and services across an organization.
Product	A configuration of an organization's resources designed to offer value for a consumer.
Service	A means of enabling value co-creation, by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.
Service Management	A set of specialized organizational capabilities for enabling value for customers in the form of services.
Value	The perceived benefits, usefulness and importance of something.

Concepts Covered

Take some time to review the concepts covered in this topic.

Key Concept	Main Points
Service Value Chain	The central element of the SVS is the service value chain, an operating model which outlines the key activities required to respond to demand and facilitate value creation through the creation and management of products and services.  Copyright © AXELOS Limited 2018 Reproduced under licence from AXELOS Limited. All rights reserved. The ITIL service value chain includes six value chain activities which lead to the creation of products and services and, in turn, VALUE. The six value chain activities are: • plan • improve • engage • design and transition • obtain/build • deliver and support
Service value streams	Organizations create service value streams to carry out a certain task or respond to a particular situation. Service value streams are specific combinations of value chain activities and practices and each one is designed for a particular scenario. The inputs and outputs must be understood as specific to a particular value stream or flow. Once designed, value streams should be subject to continual improvement.
Value chain activities	Purpose of each activity:

	Plan - ensure there is a common understanding of the vision, current status and improvement direction for all four dimensions and all products and services across the organization. Improve - ensure continual improvement of products, services and practices across all value chain activities and the four dimensions of service management. Engage - provide a good understanding of stakeholder needs, transparency, and continual engagement and good relationships with all stakeholders. Design and Transition - ensure that products and services continually meet stakeholder expectations for quality, costs and time-to-market. Obtain/Build - ensure that service components are available when and where they are needed, and meet agreed specifications. Deliver and Support - ensure that services are delivered and supported according to agreed specifications and stakeholders' expectations.
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Exam Recap Summary

- Describe the interconnected nature of the service value chain and how this supports the value streams
- Describe the purpose of each value chain activity

Topic 7: ITIL Practices

Outline

- **What You Need to Know**
- **Key Terms**
- **Lesson Content**
 - Introduction
 - The ITIL Practices
 - Summary
- **Check Your Understanding**

What You Need to Know

This last topic provides an overview of the ITIL 4 practices. Take a minute to read what you need to know.

By the end of this topic, you should be able to:

1. Know the purpose of the following 15 ITIL practices
 - Information security management
 - Relationship management
 - Supplier management
 - IT asset management
 - Monitoring and event management
 - Release management
 - Service configuration management
 - Deployment management
 - Continual improvement
 - Change enablement
 - Incident management
 - Problem management
 - Service request management
 - Service desk
 - Service level management
2. Recall the definition of the following key terms related to ITIL practices:
 - IT asset
 - Event
 - Configuration items

- Change
- Incident
- Problem
- Known Error

3. Explain the following ITIL practices in detail.

- Continual improvement
- Change enablement
- Incident management
- Problem management
- Service request management
- Service desk
- Service level management

*Note: you are not required to know how they fit within the service value chain.

Key Terms

Take some time to review the key terms covered in this topic.

Key Term	Definition
Architecture Management Practice	The practice of providing an understanding of all the different elements that make up an organization and how those elements relate to one another.
Availability Management Practice	The practice of ensuring that services deliver agreed levels of availability to meet the needs of customers and users.
Business Analysis Practice	The practice of analysing a business or some element of a business, defining its needs and recommending solutions to address these needs and/or solve a business problem, and create value for stakeholders.
Capacity and Performance Management Practice	The practice of ensuring that services achieve agreed and expected performance levels, satisfying current and future demand in a cost- effective way.
Change	The addition, modification, or removal of anything that could have a direct or indirect effect on services.
Change Enablement Practice	The practice of ensuring that risks are properly assessed, authorizing changes to proceed and managing a change schedule in order to maximize the number of successful IT changes.
Configuration Item (CI)	Any component that needs to be managed in order to deliver an IT service.
Continual Improvement Practice	The practice of aligning an organization's practices and services with changing business needs through the ongoing identification and improvement of all elements involved in the effective management of products and services.

Deployment Management Practice	The practice of moving new or changed hardware, software, documentation, processes, or any other service component to live environments.
Event	Any change of state that has significance for the management of a service or other configuration item.
Incident Management	The practice of minimizing the negative impact of incidents by restoring normal service operation as quickly as possible.
Infrastructure and Platform Management Practice	The practice of overseeing the infrastructure and platforms used by an organization. This enables the monitoring of technology solutions available, including solutions from third parties.
Information Security Management Practice	The practice of protecting an organization by understanding and managing risks to the confidentiality, integrity, and availability of information.
IT Asset Management Practice	The practice of planning and managing the full lifecycle of all IT assets.
Knowledge Management Practice	The practice of maintaining and improving the effective, efficient, and convenient use of information and knowledge across an organization.
Known Error	A problem that has been analysed but has not been resolved.
Monitoring and Event Management Practice	The practice of systematically observing services and service components and recording and reporting selected changes of state identified as events.
Organizational Change Management Practice	The practice of ensuring that changes in an organization are smoothly and successfully implemented and that lasting benefits are achieved by managing the human aspects of the changes.
Portfolio Management Practice	The practice of ensuring that an organization has the right mix of programmes, projects, products, and services to execute its strategy within its funding and resource constraints.
Problem	A cause of potential, current, or future incidents.
Problem Management Practice	The practice of reducing the likelihood and impact of incidents by identifying actual and potential causes of incidents and managing workarounds and known errors.
Project Management Practice	The practice of ensuring that all an organization's projects are successfully delivered.
Relationship Management Practice	The practice of establishing and nurturing links between an organization and its stakeholders at strategic and tactical levels.
Release Management Practice	The practice of making new and changed services and features available for use.

Risk Management Practice	The practice of ensuring that an organization understands and effectively handles risks.
Service Catalog Management Practice	The practice of providing a single source of consistent information on all services and service offerings and ensuring that it is available to the relevant audience.
Service Configuration Management Practice	The practice of ensuring that accurate and reliable information about the configuration of services, and the configuration items that support them, is available when and where needed.
Service Continuity Management Practice	The practice of ensuring that service availability and performance are maintained at a sufficient level in the event of a disaster.
Service Desk Practice	The practice of capturing demand for incident resolution and service requests.
Service Financial Management Practice	The practice of supporting an organization's strategies and plans for service management by ensuring that the organization's financial resources and investments are being used effectively.
Service Level Agreement (SLA)	A documented agreement between a service provider and a customer that identifies both services required and the expected level of service.
Service Level Management Practice	The practice of setting clear business-based targets for service performance so that the delivery of a service can be properly assessed, monitored, and managed against these targets.
Service Request Management Practice	The practice of supporting the agreed quality of a service by handling all pre-defined, user-initiated service requests in an effective and user-friendly manner.
Service Validation and Testing Practice	The practice of ensuring that new or changed products and services meet defined requirements.
Software Development and Management Practice	The practice of ensuring that applications meet stakeholder needs in terms of functionality, reliability, maintainability, compliance, and auditability.
Strategy Management Practice	The practice of formulating the goals of an organization and adopting the courses of action and allocation of resources necessary for achieving those goals.
Supplier Management Practice	The practice of ensuring that an organization's suppliers and their performance levels are managed appropriately to support the provision of seamless quality products and services.
Workforce and Talent Management Practice	The practice of ensuring that an organization has the right people with the appropriate skills and knowledge and in the correct roles to support its business objectives.

Concepts Covered

Take some time to review the concepts covered in this topic.

Key Concept	Main Points						
ITIL Practices	In ITIL, a management practice is a set of organizational resources designed for performing work or accomplishing an objective. The origins of the practices are as follows: <table><tr><th>General management practices</th><th>Service management practices</th><th>Service management practices</th></tr><tr><td>General management practices have been adopted and adapted for service management from general business management domains.</td><td>Service management practices have been developed in service management and ITSM industries.</td><td>Technical management practices have been adapted from technology management domains for service management purposes by expanding or shifting their focus from technology solutions to IT services.</td></tr></table> There are 34 practices in ITIL 4. The 7 practices highlighted in yellow below are covered in detail. General Management Practices • Architecture management • Continual improvement • Information security management • Knowledge management • Measurement and reporting • Organizational change management • Portfolio management • Project management • Relationship management • Risk management • Service financial management • Strategy management • Supplier management • Workforce and talent management • Management Service Management Practices • Availability management • Business analysis • Capacity and performance management • Change enablement • Incident management • IT asset management • Monitoring and event management • Problem management • Release management • Service catalogue	General management practices	Service management practices	Service management practices	General management practices have been adopted and adapted for service management from general business management domains.	Service management practices have been developed in service management and ITSM industries.	Technical management practices have been adapted from technology management domains for service management purposes by expanding or shifting their focus from technology solutions to IT services.
General management practices	Service management practices	Service management practices					
General management practices have been adopted and adapted for service management from general business management domains.	Service management practices have been developed in service management and ITSM industries.	Technical management practices have been adapted from technology management domains for service management purposes by expanding or shifting their focus from technology solutions to IT services.					

	• Management • Service configuration • management • Service continuity • management • Service design • Service desk • Service level management • Service request management • Service validation and testing Technical Management Practices • Deployment management • Infrastructure and platform • management • Software development and • management
Purpose of 15 practices	You should know the purpose of the following 18 practices: 1. Continual Improvement 2. Information Security Management 3. Relationship Management 4. Supplier Management 5. Change Enablement 6. Incident Management 7. IT Asset Management 8. Monitoring and Event Management 9. Problem Management 10. Release Management 11. Service Configuration Management 12. Service Desk 13. Service Level Management 14. Service Request Management 15. Deployment Management
Definition of key ITIL Terms	You should know the definition of the following ITIL Terms: • IT Assets • Event • Configuration Items • Change • Incident • Problem • Known Error

Exam Recap Summary

- Know the purpose of the following 15 ITIL practices
- Recall the definition of key terms related to ITIL practices

- Explain 7 ITIL practices in detail

Thank you for studying for your ITIL 4 Foundation exam with Thought Rock. Best of luck with the exam and please contact us if you have any questions. info@ThoughtRock.com

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